

THE DISINVESTMENT PLAN

Status Check

► **36 PSUs** for which the Centre has given in-principle nod for divestment since 2016

► **5 PSUs** are under consideration for closure or have been closed (including Scooters India and Hindustan Fluorocarbons)

► **2 PSU** disinvestment transactions off the table—BPCL and Container Corporation of India

► **11 strategic** disinvestment transactions are in various stages of discussion

► **5 strategic** sales seen in the near future: IDBI Bank, Shipping Corporation of India, HLL Lifecare, Project & Development India, and Pawan Hans

On the Block

FINANCIAL SERVICES

IDBI Bank

TRANSPORT & LOGISTICS

Shipping Corporation of India, Pawan Hans

PHARMA

HLL Lifecare, Indian Medicines Pharmaceutical Corporation

STEEL

NMDC Steel, Salem Steel Plant, Rashtriya Ispat Nigam, Ferro Scrap Nigam

OTHERS

BEML

SOURCE PARLIAMENT PAPERS, RESEARCH REPORTS

Ghaziabad, expects disinvestment to pick up pace now that the polls are over. He says the government is likely to move back to the term 'disinvestment receipts' in the Union Budget. He, however, advocates that rather than focussing on profit-making CPSEs, the effort should be to exit loss-making CPSEs or alternatively to restructure them and monetise their assets before engaging their employees elsewhere.

The number of loss-making CPSEs has reduced to 57 or 25% of the 254 operating CPSEs in FY23 from 33% in FY20, he points out. "Such initiatives will also help improve the finances and functioning of CPSEs. This would be like killing two birds with one stone; on the one hand, it would improve the overall net profit of the CPSEs; on

the other, it would increase the disinvestment goal and improve fiscal arithmetic from proceeds derived from divestment or monetisation of these loss-making units," he says.

ASSET MONETISATION

The Union Budget 2024-25, to be presented by Finance Minister Nirmala Sitharaman, is likely to include fresh targets for asset monetisation under the National Monetisation Pipeline (NMP), which is expected to provide more space to focus on capital expenditure. Indications are that the target for FY25 may be raised to ₹1.9-2 lakh crore.

For FY25, several infrastructure ministries have already begun identifying targets under NMP. For instance, the National Highways

Authority of India has already identified and published an indicative list of 33 assets to be monetised during 2024-25, which is expected to help investors plan efficiently and accelerate monetisation.

NMP had listed potential core assets of central ministries and public sector enterprises for FY22 to FY25 with a target of ₹6 lakh crore. Of this, assets worth ₹3.86 lakh crore have been monetised in the past three years, according to official data. A total of ₹2.3 lakh crore was raised in FY22 and FY23, against the target of ₹2.5 lakh crore. In FY24, ₹1.56 lakh crore was raised against the target of ₹1.8 lakh crore.

Srivastava notes that NMP has been doing well. "But the numbers do not directly reflect in the Centre's balance sheet and fiscal mathematics, and we have to see if and how these funds help in infrastructure projects because NMP was introduced to finance the infrastructure pipeline," he cautions.

Big-ticket stake sales that excite the market and investors have been few and far between and much more can be done on disinvestment, especially exiting loss-making firms. But the Centre's measured approach on CPSEs has served it in good stead. What's more, it has also meant that there is no last-minute rush to offload stake in CPSEs to meet targets that has in the past led to a muted response from the markets. But the pressure is on for extra resources, given that Bihar and Andhra Pradesh have presented large wish lists to the Centre that would require a huge amount of funds. For now, investors and markets await the Union Budget on July 23 to reveal the actual intent of NDA 3.0 on disinvestment. **BT**

@surabhi_prasad